
ICELAND 2015

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1. Overview of the system

Iceland has an insurance-based unemployment benefit system. Two kinds of housing benefit programmes are in existence. One, there is a rent benefit for tenants with low income and two, mortgage interest benefits are open to home owners. Means-tested family benefits are available to parents. The social security administration provides benefits for lone parents providing for two children or more. Financial assistance is available from local governments for those without other resources and that do not qualify for benefits from the central government and/or the social security system.

1.1. Average worker wage (AW)

The 2015 AW level is ISK 7 440 480¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2006-2007*, OECD, 2008, part 5, sections 2 and 3.

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2. Unemployment insurance

Program name in local language		Atvinnuleysisdagpeningar
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 3 in last 12 months
Waiting period (days)		0
Maximum duration (months)		36
Upgrading mechanism of the benefit		Revised each year when the state budget is passed, takes into account developments in wages, prices and the economy; Ministry of Welfare may change amount at discretion if substantial changes take place after the budget has been passed
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	10 days Flat rate of ISK 184188 per month, then 70% of previous earnings for 3 months
	benefit at the end of legal entitlement period in % of calculation base	Flat rate of ISK 184188 per month
	Calculation base(2)	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	For occasional employment (<3 days at a time) benefit is reduced proportionally
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + 4% per child < 18
	contract type	0
	other	0

2.1 Conditions for receipt

In order to qualify for unemployment benefits, one has to be between 18 and 70 years of age, willing and available to work, and must be resident of and settled in Iceland. He must have been registered unemployed for at least three days, but receives benefits from the first day.

2.1.1 *Employment conditions*

An employee must have worked for at least 3 months of the preceding 12 months to qualify for any benefits. In order to qualify for full benefits, he must have worked for the last 12 months. Part-timers qualify for proportionally reduced benefits.

2.1.2 *Contribution conditions*

Coincide with the employment conditions. Benefits are paid from the Unemployment Insurance Fund which is financed by compulsory employers' social security contributions levied on all earnings.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

Benefits are paid in proportion to the number of hours worked in insured employment in the previous 12 months:

- The full benefit amount is ISK 184188 per month.
- The minimum benefit amount is ISK 46047 per month (25 per cent of full benefits).
- Parents receive a family supplement of ISK 7368 per month (4 per cent of full benefits) per dependent child below 18 years of age.
- Since 2006, benefits are linked to previous employment income to an extent. After having received the general benefit amount for two weeks the recipient is entitled to 70% of his employment income (average income in the six month period ending two months prior to unemployment), subject to a maximum of ISK 290366 monthly, and for 65 days (three months) only. After that he will continue to receive the general benefits only, for the remainder of his entitlement period.

2.2.2 *Income and earnings disregards*

If a recipient has occasional employment for one or two days at a time, benefit is reduced in proportion to the number of hours worked.

2.3 *Tax treatment of benefit*

Benefits are subject to general income tax.

2.4 *Benefit duration*

Benefits are paid for a maximum of three consecutive years.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

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2.5.2 *Older workers*

None.

2.5.3 *Other groups, including disabled*

None.

3. Unemployment assistance

The central government, through its Directorate of Labour, offers job-related and educational programs, retraining courses and consulting services for unemployed persons. This is carried out in cooperation with local governments and various service organisations and is fully paid for out of central government funds. As a temporary, general measure to encourage employers to hire unemployed persons, the unemployed person may receive benefits for up to 6 months during a trial or training period with an employer. An unemployed person may receive benefits while studying, for a maximum of 13 weeks.

4. Social assistance

A need-based subsistence benefit is paid as a last resort by local governments.

Program name in local language		...
Minimum age condition for social assistance receipt		18
Legal behavioural requirements	Registration as unemployed(2)	...
	Participation in integration measures	...
	Active job search(2)	Yes
	Work requirement(2)	...
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	...
Determination of benefit levels		Local
Uprating mechanism of the benefit		Depend on the minimum old-age pension, which is usually revised yearly, competency of government; no revision in 2013
Other supplements to basic benefit (per family)		No
Means-test for social assistance	Earnings disregards	No
	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	...
	Other benefits included in the means test	Lone parents' benefit, unemployment benefits
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + for spouse (0 for children)
	over time	0
	other	0

4.1 Conditions for receipt

To qualify, persons must be fully or partially unqualified for benefits from the central government or the Social Security Institute.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Financial assistance is the difference between the needs (the applicable amount) and the claiming household's resources. The applicable amount for the capital, Reykjavik, is shown below. Note that rates differ regionally.

Household type	Applicable amount: recommended minimum monthly rate (in ISK)
Single persons	174952
Couples	262482
Individual, living with parents	87476
Individual, cohabiting	147406

An individual, living with parents, who himself supports a child, is entitled to 147406ISK monthly. There are no other regular allowances for dependent children. The resources include all gross family income. Excluded is income of children and all benefits paid in respect of children such as child support and family benefits, as well as mortgage interest rebates and rent benefits. The exemption is the lone parent benefit, which is included as family income in the same way as labour income, unemployment benefits, capital income, etc. Recipients who have received benefits for at least three months are entitled to a December bonus of 25% of their regular monthly assistance.

4.2.1.1 Irregular additional payments

Additional support may be provided to beneficiaries of assistance to meet various expenses, such as funeral costs, dental bills, education etc.

Parents may be entitled to additional support, up to 14042 ISK per child monthly, to pay for child care, school meals or activities directed at the child's well-being. This support is granted on an individual basis, subject to revision after each 6 month period. They may also receive 14042 ISK twice, in August and December, towards expenses at beginning of school and Christmas.

4.2.2 Income and earnings disregards

There are no disregards; there is a one-to-one means test including all gross family income.

4.3 Tax treatment of benefit

Subject to general income tax.

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4.4 *Benefit duration*

Social assistance is granted on basis of a decision, with a base period of either three or six months. After six months, assistance may continue, following consultation and an assessment of eligibility. No general absolute duration limit applies.

4.5 *Treatment of particular groups, including disabled*

None

5. Housing benefits

There are two schemes for housing benefits, one for tenants and one for home owners. A) Rent benefits are available to households renting accommodations as long as no household member owns any other real estate. The central government finances the rent benefits partially but local authorities administer the benefits. B). Home owners can receive interest rebates to offset their mortgage payments. The cost of mortgage interest rebate is borne by central government.

Regular housing benefits	Program name in local language		...
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	No
		Actual rental cost	Yes
	Description of regular housing benefit		Central government finances the rent benefits partially but local authorities administer the benefits
	Uprating mechanism of the benefit		...
Housing related support through other benefits			No

5.1 Conditions for receipt

Rent benefits are available to tenants with a certified rental agreement of at least 6 months' duration. The rented accommodation must be a self-contained unit, such that e.g. rooms in dormitories on campuses are excluded. Rent benefits are means-tested. Rent benefits are targeted on low-income tenants and are therefore subject to an income test.

Mortgage interest rebate is open to all home owners with mortgage payments but is subject to limits on net assets, total mortgage liabilities and a maximum interest payment amount.

5.2 Calculation of benefit amount**5.2.1 Calculation of gross benefit**

Rent benefit. The rent benefit is a fixed amount per claiming household of ISK 17 500 per month, with additional ISK 14 000 per month for one dependent child, plus ISK 8 500 per month for a second child, plus ISK 5 500 per month for the third and additional children. The children must have a legal residence in the rental home. In addition, 15 per cent of the rent above ISK 20 000 and below ISK 50 000 is added to the above amounts. 0.67 per cent of the household's previous year's taxable income in excess of ISK 2 550 000 of all non-studying household members 20 years or older is deducted per month of payment of rent benefit. 25 per cent of the household's annual net wealth exceeding ISK 6 983 000 is

counted as income in this respect. The final rent benefit can never be higher than ISK 50 000 per month or half of paid rent, whichever is lower.

Mortgage interest rebate. This programme is in effect a part of the tax system. The rebate is based on interest paid on a home purchase loan. The following constraints apply to interest rebates paid in 2015, based on tax returns for 2014: (1) They cannot exceed 7 per cent of the remaining debt balance incurred in buying a home for one's own use. (2) The maximum amount of interest payments that qualify for an interest rebate calculation is ISK 0.8 million for an individual, ISK 1.0 million for a lone parent and ISK 1.2 million for a couple. (3) 8.5 per cent of taxable income is subtracted from the interest expense. (4) The rebates begin to be curtailed at a net worth threshold of ISK 4 million for a single individual and lone parent and at ISK 6.5 million for a couple and are eliminated altogether at a 60 per cent higher amount. (5) The maximum amounts of interest rebates are ISK 0.4 million for an individual, ISK 0.5 million for a lone parent and ISK 0.6 million for a couple. In 2012 an additional condition was introduced to this scheme: the rebate is not paid to those who have not actually paid their due interest on mortgage debt of the preceding year.

5.2.2 *Income and earnings disregards*

Full rent benefits are paid to families with combined annual income of up to ISK 2.55 million. 0.67 per cent of income in excess of this threshold would be deducted from benefits on a monthly basis.

5.3 *Tax treatment of benefit*

Rent benefit. Not taxed.

Mortgage interest rebate. Not taxed. Administered and paid through tax authorities.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

5.4.3 *Other groups, including disabled*

None.

6. Family benefits

Means-tested benefit for dependent children.

Program name (local name in parentheses if available)			Family benefit (barnabætur)	Supplement to Family benefit (barnabætur) for lone parents
Type of benefit			Targeted	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		17	17
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No	No
Uprating mechanism of the benefit			...	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	+ for each child <7	+ for each child <7
		Number of children	+++ for second, then ++	+++ for second, then ++
	Earnings disregard		Yes, full disregard up to ISK4800000 for couples	Yes, full disregard up to ISK2400000 for lone parents
	Withdrawal rate		Above threshold 4% for 1 child, 6% for 2 children, 8% for 4, 3% for each child <7	Above threshold 4% for 1 child, 6% for 2 children, 8% for 3, 4% for each child <7
	Assets part of means test?		...	...

6.1 Conditions for receipt

To have a dependent child under 18 years of age.

6.2 Calculation of benefit amount**6.2.1 Calculation of gross benefit**

The benefit amount per child and income limits depend on the household type.

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<i>Amounts paid in the stated year, based on income in the previous year (ISK)</i>	2012	2013	2014	2015	2016
Children under the age of eighteen					
First child	152,331	167,564	167,564	194,018	199,839
Each additional child	181,323	199,455	199,455	231,019	237,949
Additional benefit for children under the age of seven					
For each child under the age of seven	61,191	100,000	100,000	115,825	119,300
Benefits for single parents					
First child	253,716	279,087	279,087	323,253	332,950
Each additional child	260,262	286,288	286,288	331,593	341,541
Income threshold for benefit curtailment					
For couples	3,600,000	4,800,000	4,800,000	4,800,000	4,800,000
For single parent	1,800,000	2,400,000	2,400,000	2,400,000	2,400,000
Curtailment of benefits					
For one child	3%	3%	3%	4%	4%
For two children	5%	5%	5%	6%	6%
For three children or more	7%	7%	7%	8%	8%
Additional benefit for children under the age of seven	3%	3%	3%	4%	4%

Note that child benefits paid in 2015 are based on information from 2014 tax returns.

6.2.2 *Income and earnings disregards*

The general benefit for parents with one child is reduced by 4 per cent of income above the income limit, by 6 per cent for parents with 2 children and by 8 per cent for parents with 3 or more children. The additional benefit for children under 7 years of age is reduced by 4 per cent for each child, of income above the limit.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups, including disabled*

See below for treatment of lone parents.

7. Childcare for pre-school children

Pre-schools are available to all children who have not reached the age at which compulsory school begins, i.e. in autumn of the year in which the child turns six. However, few pre-schools accept children less than one year old, and the youngest children are usually about two years of age. Before that they may be cared for by day-care parents.

7.1 Out-of-pocket childcare fees paid by parents*Full-time childcare*

Local municipalities pay for the construction and the operation of pre-primary schools. Parents contribute a substantial amount towards operating costs at the pre-primary level. The share that the parents contribute varies from one municipality to another. In most municipalities, reduced rates are available to lone parents and students and some offer reduction to parents who have two or more children attending schools at the pre-primary level. On the whole, parents contribute about a sixth of the operating costs of pre-primary schools.

The fee of Reykjavík pre-schools is divided into two categories:

- I. No discount. Applies for married parents and parents who live together.
- II. Discount fee. Applies for families where both parents are students; for lone parents; one or both parents are disabled; employees of Reykjavik Preschools.

To qualify for category II, studying parents must study full-time. This category is also for full-time students in junior college and vocational schools. Evening classes are not valid.

Tuition fee for each category and meal fee in 2015 is shown in the table below.

The fees of Reykjavík Preschools paid by parents (ISK, valid from 1 January 2015)					
	Tuition fee			Total fee	
Hourly fee	Category I	Category II	Meal fee	Category I	Category II
up to 8 hours	2 260	940	.	.	.
1/2 hour 8 - 8,5 hours	4 170	1 725	.	.	.
1/2 hour > 8,5 hours	8 330	3 267	.	.	.
4,0 hours	8480	3520	1620	10100	5140
4,5 hours	9540	3960	1620	11160	5580
5,0 hours	10600	4400	6440	17040	10840
5,5 hours	11660	4840	6440	18100	11280
6,0 hours	12720	5280	6440	19160	11720
6,5 hours	13780	5720	6440	20220	12160
7,0 hours	14840	6160	8060	22900	14220
7,5 hours	15900	6600	8060	23960	14660
8,0 hours	16960	7040	8060	25020	15100
8,5 hours	20870	8655	8060	28930	16715
9,0 hours	28680	11885	8060	36740	19945
9,5 hours	36490	15115	8060	44550	23175

Parents with more than one child are entitled to 75% discount of tuition fee for second child and 100% discount for the third child or more. Parents must pay full meal fee for every child (see table). This discount rule applies equally for children in a pre-school who have siblings in a family day-care or in a private pre-school, see the table for subsidy of day -care fees.

Part-time childcare

Pre-schools operated by municipalities offer part-time or full-time care, see table above.

7.2 Child-care benefits

Reykjavík and many other municipalities subsidise child-care with day-care parents. Day-care parents are certified to operate child-care services in their homes. They set their fees individually.

7.2.1 Conditions for receipt

Generally, the conditions for receiving a subsidy are that parents are unable to place their children in pre-schools or day-care centres, usually due to waiting-lists, and therefore place them with day-care parents. Subsidy is granted from the time when the child is nine months old, but for lone parents and studying parents from the age of six months.

7.2.2 Calculation of benefit amount

Subsidies vary from one municipality to another. The following subsidy applies in Reykjavík. Categories I and II are the same as in section 7.1 above. A minimum fee applies, amounting to 4 hours of care. For siblings, a 75% rule applies for second child, but for third child the same subsidy is granted as for one child (see table).

Subsidy of day-care parent services (ISK, valid from 1 January 2014)						
	Category I			Category II		
Hourly fee	Subsidy for one child	Addition for second child	Addition for third child	Subsidy for one child	Addition for second child	Addition for third child
up to 8 hours	5951	4463	5951	8148	6111	8148
1/2 hour 8 - 8,5 hours	1488	1116	1488	3027	2270	3027
1/2 hour > 8,5 hours	0	0	0	1995	1496	1995
4,0 hours	23804	17852	23804	32592	24444	32592
4,5 hours	26780	20084	26780	36666	27500	36666
5,0 hours	29755	22315	29755	40740	30555	40740
5,5 hours	32731	24547	32731	44814	33611	44814
6,0 hours	35706	26778	35706	48888	36666	48888
6,5 hours	38682	29010	38682	52962	39722	52962
7,0 hours	41657	31241	41657	57036	42777	57036
7,5 hours	44633	33473	44633	61110	45833	61110
8,0 hours	47608	35704	47608	65184	48888	65184
8,5 hours	49096	36820	49096	68211	51158	68211
9,0 hours	49096	36820	49096	70206	52654	70206

7.2.2.1 Calculation of gross benefit

See above.

7.2.2.2 Income and earnings disregards

Subsidy is available to all parents, regardless of income.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Subsidy is not subject to income tax nor does it interact with other benefits.

7.2.4 *Treatment of particular groups, including disabled*

7.3 Child care allowance for children not using child care centers

In 2013, benefits to parents who care for their children at home in the period beginning 6 months after the child is born until the child enters pre-school (cash-for-care) have been abolished in most or all municipalities where this type of benefit was formerly available. (This trend is explained by the tight financial situation of municipalities and surging demand for social assistance that they are required to provide, whereas cash-for-care is optional for them). Reykjavík, the largest municipality, abolished cash-for-care in April 2011. No legislation exists on cash-for-care. Generally, cash-for-care is available only if no formal centre-based childcare is used. The receiving parents may be employed or not. The benefit is not means-tested and not taxable. If used by the recipient towards paying for child care, it is taxable with the caregiver, usually a family member. The benefit amount may vary significantly between municipalities.

8. Employment-conditional benefits

None.

9. Lone-parent benefits

Lone parents with two or more children are entitled to additional benefits from the Social Security Administration, the so-called mother/fatherhood allowance.

Program name (local name in parentheses if available)			Lone parent mother/fatherhood allowance
Type of benefit			Universal
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		17
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Lone parent of 2 children
Uprating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0
		Number of children	+++ for third, then 0
	Earnings disregard		n.a.
	Withdrawal rate		n.a.
	Assets part of means test?		...

9.1 Conditions for receipt

To be living alone with at least two children under 18 years of age.

9.2 Calculation of benefit amount**9.2.1 Calculation of gross benefit**

Lone parent benefits	Yearly amounts
2 children	93324

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3 children	242628
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9.2.2 *Income and earnings disregards*

The benefit is not income tested.

9.3 *Tax treatment of benefit*

Subject to general income tax.

9.4 *Treatment of particular groups, including disabled*

A support benefit is paid to parents with children that are disabled or suffering from a long-term illness and in need of continuous stay-at-home care. The benefit amounts to ISK 145351 monthly in 2015.

10. Tax system

Iceland has a dual income tax system. Personal income tax for central and local government is collected together on a withheld basis. Capital income tax is paid to central government, partly on a withheld basis.

10.1 Income tax

In 2010, the personal income tax was reformed into a triple-rate system for the first time since the adoption of the withheld tax system (PAYE) in 1988.

10.1.1 Tax allowances and credits

- *Relief(s) for compulsory pension contributions:* Since January 2000, the compulsory payment by employees to pension funds, amounting to 4 per cent of wages, is deductible. In addition, a voluntary payment of up to 4 per cent of wages may also be deducted, in effect from 1st July 2014. As the additional contribution is optional, it is considered to be a non-standard relief.
- *Work-related expenses:* earnings-related transportation costs (net of fringe benefits) are deductible up to a certain limit.
- There is a basic tax credit of ISK 610 824 per earner annually or ISK 50 902 monthly. The credit is subtracted from central and local government taxes; unused portions are not refundable.
- *Standard marital status relief:* Married couples may utilise up to 100 per cent of each spouse's unutilised portion of his/her basic tax credit.

10.1.2 The definition of taxable income

Category A comprises wages and salaries, including presumptive employment income of the self-employed (see below), employment-related benefits, old-age pensions, social security payments, grants, payments to copyright holders, royalties, etc. *Category B* comprises income from a business and income from an independent economic activity. *Category C* comprises investment income such as dividends, interest and capital gains. Income in category C is taxed at a flat 20 per cent rate with a tax free limit for interest income of ISK 125 000 annually.

10.1.3 The tax schedule

- The central government personal income tax has three rates in 2015. The bottom rate of 22.86 per cent applies to personal income up to ISK 309 140 per month; the middle rate is 25.3 per cent for the next ISK 527 264 and the top rate is 31.8 per cent for incomes above ISK 836 404.
- The local government personal income tax average rate is 14.44 per cent. The tax base is the same as the central government's (categories A and B).
- The central and local government personal income tax is collected together on a monthly withheld basis. The schedule for the sum of the two rates is: 37.30 per cent, 39.74 per cent and 46.24 per cent. The personal tax credit of ISK 50 498 produces a general tax free limit of ISK 141 025 monthly.

10.2 *Treatment of family income*

In general, the tax unit is the individual. A special rule applies for taxable income in the third bracket (above ISK 9 415 429 annually), if the spouse's taxable income is below ISK 9 415 429. A part of the income above ISK 9 415 429 is then taxed in the second bracket. The part is determined by half of the amount by which the spouses income is below ISK 9 415 429, subject to a maximum of ISK 2 967 714.

Non-wage income of married couples is taxed jointly.

10.3 *Social security contribution schedule*

In 2015, employees with annual taxable income above ISK 1 637 598 pay two fixed annual fees. ISK 10 464 goes to the Construction Fund for the Elderly and ISK 16 400 goes to the Treasury, but intended to finance the National Broadcasting Service. Persons less than 16 years old and 70 years or older are exempt as well as old-age pensioners or disabled residing in old-age, nursing homes or special care establishments. Both fees are payable in the following year (2015).

Employers pay a social security contribution on their total payroll cost to the Treasury. The rate is 7.49% in 2015. The proceeds go towards – but do not fully finance – the central government's costs of old age, disability, health care and childbirth leave, the remainder of the cost coming from general tax revenue. Furthermore, a new financial activities tax was introduced in 2012, which requires financial and insurance companies to pay an additional payroll tax. The rate for 2015 is 5.5%.

Pension funds: Employees aged 16-70 years must be members of a pension fund and contribute 4 per cent of their wages, generally deducted on a withholding basis. The employer counter-contributes at least another 8 per cent. Both contributions are deductible from income before tax.

From July 1st 2014, employees can contribute up to 4 per cent to a pension fund on an optional basis. This contribution is also tax-exempt. If an employee chooses to take this option the employer will generally match the employee's contribution by 2 per cent of the employee's wages.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Unemployment benefits are paid proportional to the time spent in paid employment. (See section on unemployment benefits.)

11.2 *Special tax and social security contribution rules for part-time work*

None.

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12.1 Policy changes introduced: 2nd July 2014 – 1st July 2015

A number of policy changes were introduced in 2014. The main changes to direct taxation and finances of individuals or employers are: The social security contribution rate paid by employers was lowered by one percentage point, from 7.59% to 7.49% in 2015.

The family benefits increased by 16% in 2015 and account for an increase of 1.3 billion ISK in government expenditures.

12.2 Policy changes introduced since 1st July 2015

New tax reform on personal income tax were introduced in the beginning of January 2016.